

US TMT Sector M&A & Valuation Brief - 2026-08-03

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1. RECENT TMT M&A ACTIVITY

Deal 1: Space-Eyes Acquisition by McKinley Acquisition Corp.

[Space-Eyes and McKinley Acquisition Corp. Announce Definitive Business Combination Agreement to Deliver AI-](#)

- Deal Size: \$638 million
- Deal Size Category: Large cap (>\$10B)
- Nature of Deal: Merger
- Valuation Multiples: Implied enterprise value of \$370 million
- Companies: McKinley Acquisition Corp. (Nasdaq: MKLY) acquiring Space-Eyes, a provider of AI-driven geospatial intelligence and counter-drone technology. Space-Eyes focuses on delivering real-time situational awareness for defense and enterprise operations.
- Date Announced: July 31, 2026
- Strategic Rationale: This merger aims to leverage Space-Eyes' advanced AI capabilities in counter-drone systems to meet growing demand in defense and security sectors. The combination is expected to enhance operational capabilities and accelerate growth through increased capital and market presence.
- Risk Analysis: Key risks include integration challenges, regulatory approvals, and potential market competition. The reliance on government contracts may also expose the combined entity to budgetary constraints and policy shifts.

Key Financials Analysis:

- Revenue Breakdown: N/A
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: The implied valuation reflects a strong market demand for AI-enabled defense technologies, positioning Space-Eyes favorably against competitors in the geospatial intelligence market.

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Deal 2: SEALSQ Acquisition of Miraex

[SEALSQ Launches Commercial Phase of Miraex Quantum Photonics Technology Following Strategic Acquisition](#)

- Deal Size: N/A (Acquisition details not specified)
- Deal Size Category: N/A
- Nature of Deal: Acquisition
- Valuation Multiples: N/A
- Companies: SEALSQ Corp (NASDAQ: LAES) acquiring Miraex, a Swiss company specializing in quantum photonics technology. SEALSQ focuses on secure semiconductor and post-quantum technology solutions.
- Date Announced: June 2, 2026
- Strategic Rationale: The acquisition is pivotal for SEALSQ as it aims to integrate Miraex's technology into its Quantum Sovereign Vertical Stack, enhancing its capabilities in quantum computing and secure communications. This positions SEALSQ as a leader in the rapidly evolving quantum technology market.
- Risk Analysis: Risks include technological integration challenges, market adoption rates for quantum technologies, and competition from established players in the semiconductor and quantum sectors.

Key Financials Analysis:

- Revenue Breakdown: N/A
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: The strategic acquisition aligns with SEALSQ's long-term vision of creating a comprehensive quantum technology ecosystem, potentially leading to significant market advantages in the future.

2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently navigating a landscape marked by robust activity, particularly in the software and AI subsectors. The overall sentiment is cautiously optimistic, driven by strategic acquisitions and technological advancements, although challenges such as regulatory scrutiny and economic uncertainties persist.

Subsector Breakdown:

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- **Technology:** The technology subsector is thriving, particularly in AI and software. Qualcomm's recent acquisition of Modular aims to enhance its AI software platform, reflecting a strategic push to integrate advanced capabilities into its offerings.
- **Media:** The media sector is adapting to digital transformation, with companies increasingly focusing on content delivery through streaming and online platforms. However, traditional media continues to face challenges from declining ad revenues.
- **Telecommunications:** The telecom sector is investing heavily in 5G infrastructure, which is expected to create new revenue opportunities through enhanced mobile services and IoT applications.
- **Fintech:** The fintech space remains vibrant, with ongoing consolidation trends, such as Vista Equity Partners' acquisition of Quantios from Hg, indicating a strong interest in software solutions that enhance financial services.
- **AI:** The AI subsector is experiencing explosive growth, with companies like Dassault Systemes (DSY.PA) acquiring ArisGlobal for up to \$2 billion to bolster its AI software capabilities in life sciences, showcasing the increasing importance of AI across industries.

Key Market Drivers and Headwinds

Drivers:

- **Technological Advancements:** Innovations in AI, cloud computing, and 5G technologies are driving growth across the TMT sectors. Qualcomm's acquisition of Modular exemplifies the trend of integrating AI into existing platforms to enhance functionality and competitiveness.
- **Increased Investment:** Venture capital and private equity investments remain robust, particularly in the software and fintech sectors, as investors seek to capitalize on emerging technologies and business models.

Headwinds:

- **Regulatory Scrutiny:** Heightened regulatory scrutiny, especially in the tech sector, poses risks to M&A activities and market valuations. Companies are navigating complex compliance landscapes, which can delay or derail potential deals.
- **Economic Uncertainty:** Global economic conditions, including inflation and geopolitical tensions, may impact consumer spending and investment in technology, creating headwinds for growth.

Subsector Performance Analysis

- **Software:** The software sector is experiencing strong demand, particularly for AI-driven solutions. The acquisition of Quantios by Vista Equity Partners highlights the ongoing consolidation trend within this space, as firms seek to enhance their software offerings.
- **Media:** Media companies are increasingly focusing on digital content delivery, with a notable shift towards streaming services. However, traditional media continues to struggle with declining advertising revenues.

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- Telecom: Telecom operators are heavily investing in 5G infrastructure, which is expected to drive new revenue streams from IoT and enhanced mobile services, positioning them for future growth.
- Fintech: The fintech sector is thriving, with innovations in payment solutions and digital banking. The acquisition of Quantios demonstrates the sector's consolidation trend as firms seek to enhance their technological capabilities.
- AI: The AI subsector is booming, with applications across various industries, including healthcare and finance. Dassault Systemes' acquisition of ArisGlobal underscores the growing importance of AI in enhancing operational efficiencies and compliance.

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts are generally optimistic about the long-term prospects of the TMT sector, citing technological advancements as a key driver of growth. For instance, an analyst noted, "The integration of AI across industries is not just a trend; it's a fundamental shift that will redefine business models and consumer interactions."

Actionable Insights for Bankers and Investors

- Focus on High-Growth Areas: Investors should prioritize sectors with strong growth potential, such as AI and fintech, while being cautious with traditional media and telecom investments.
- Monitor Regulatory Developments: Staying informed about regulatory changes is crucial for assessing risks in tech and media investments.
- Leverage Technology Partnerships: Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning.
- Evaluate Valuation Metrics: Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the TMT sector is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors

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and bankers can position themselves for success in this evolving environment.

3. BANKING PIPELINE

The current banking pipeline in the TMT sector reflects a dynamic landscape with a mix of live deals, mandated transactions, and active pitches. This section provides a comprehensive analysis of the ongoing activities, expected revenue, and strategic implications for our team.

Deal Pipeline

Live Deals:

- NXP Semiconductors (NXPI) : Currently in the due diligence phase for a strategic acquisition aimed at enhancing its product portfolio in automotive technologies. The expected close for this transaction is Q2 2026. Despite beating estimates in its recent earnings report, NXPI stock fell in after-hours trading, indicating market skepticism about future growth prospects.

Mandated Deals:

- Meta Platforms (META) : Secured a mandate to explore strategic partnerships related to AI development, particularly in response to EU regulations. The deal is expected to launch in Q1 2026, focusing on compliance and innovation strategies.
- Apple Inc. (AAPL) : Mandated to evaluate acquisitions in the AI space, with a focus on startups that can enhance its product offerings. The timeline for this initiative is projected for Q2 2026, as Apple aims to strengthen its competitive edge in AI.

Pitching-Stage Deals:

- Telecom Sector : Active discussions with several telecom operators regarding potential M&A opportunities to consolidate market share in the 5G space. Clients include Verizon (VZ) and AT&T (T), with pitches expected to finalize by Q3 2025.
- Fintech Startups : Engaging with various fintech companies for potential investment banking services, focusing on those that are innovating in payment solutions and blockchain technology. Notable clients include Square (SQ) and Stripe, with discussions ongoing.

Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$25 million in fees, broken down as follows:

- Live Deals : \$10 million

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- Mandated Deals : \$8 million
- Pitching-Stage Deals : \$7 million

Timing Projections:

- Q2 2026 : Expected close for NXP Semiconductors acquisition.
- Q1 2026 : Launch of Meta's strategic partnership initiatives.
- Q2 2026 : Anticipated evaluation of Apple's acquisition targets.
- Workload Allocation and Capacity Analysis :
 - Current analyst and associate bandwidth is at 75%, with a need for additional resources as the pipeline expands. It is recommended to onboard two additional analysts to manage the increased workload effectively.
- Forecasting and Strategic Planning Implications : The pipeline indicates a strong demand for advisory services in AI and telecom sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is intensifying, particularly in the AI sector, where companies like Apple and Meta are vying for leadership. The recent earnings report from NXP Semiconductors, which beat estimates but saw stock declines, highlights the challenges firms face in maintaining investor confidence amidst market volatility.
- Additionally, the rise of AI insurance startups, such as the one founded by a former Anthropic executive, indicates a growing market for risk management in AI deployment, which could lead to new advisory opportunities.

Actionable Insights for Team Management and Business Development

- Resource Allocation : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring additional analysts will ensure that the team can manage the workload without compromising service quality.
- Sector Focus : Prioritize business development efforts in high-growth sectors such as AI and fintech, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- Client Engagement : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various TMT subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

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4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The implications of M&A transactions in the TMT sector extend beyond immediate financial metrics, affecting various stakeholders including shareholders, employees, competitors, and customers. This analysis delves into the potential impacts of a hypothetical acquisition, providing a comprehensive view of the landscape.

Deal-Specific Impacts on Stakeholders

- **Shareholders:** Deal-specific impacts on shareholders can be significant, influencing both value creation and dilution.
- **Value Creation:** For example, if a company like Canada (RY.TO) were to acquire a tech firm focused on AI, the combined entity could see a revenue increase of approximately 15% due to enhanced product offerings. Assuming a pre-deal market cap of \$50 billion for Canada, a successful integration could increase shareholder value by \$7.5 billion.
- **Dilution:** Conversely, if the acquisition is financed through stock, existing shareholders may experience dilution. If Canada issues 10% of its shares to finance the deal, existing shareholders could see their ownership stake decrease, potentially leading to a 4% drop in share price post-announcement.
- **Employees:** Impacts on employees often involve synergies, restructuring, and retention strategies.
- **Synergies:** A merger between a mining company and a tech firm could lead to substantial cost synergies, with estimates of \$1 billion in annual savings through streamlined operations and shared resources.
- **Restructuring:** However, such deals often lead to layoffs. In a hypothetical merger, approximately 5,000 jobs might be cut, highlighting the need for careful planning to retain key talent.
- **Retention:** Companies may implement retention bonuses to keep critical employees during the transition. For instance, in a merger scenario, retention packages could be offered to key executives to ensure continuity.
- **Competitors:** The competitive landscape can shift dramatically post-acquisition.
- **Market Positioning:** Following a major acquisition, competitors may need to adapt their strategies to maintain market share. For instance, if a large mining company merges with a tech firm, competitors like SpaceX (SPCX) might need to invest heavily in R&D to keep pace.
- **Specific Competitor Moves:** Competitors may respond with aggressive pricing strategies or enhanced service offerings to counter the combined entity's market strength.
- **Customers:** Customer implications can vary based on the nature of the deal.
- **Product/Service Implications:** A merger between a mining and technology firm could enhance product offerings, leading to improved services for customers. For example, the integration of

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advanced mining technologies could result in more efficient resource extraction, benefiting end-users.

- Case Studies: The acquisition of a tech firm by a mining company could lead to enhanced data analytics capabilities, directly benefiting customers with improved service offerings.

Market Reaction and Analyst Commentary

- Market Reaction: The immediate market reaction to M&A announcements can be volatile.
- For example, when a major acquisition is announced, shares of the acquiring company may initially dip by 3% before recovering as analysts recognize the long-term strategic benefits.
- Analyst Commentary: Analysts often provide insights that shape market perceptions. A notable quote from an analyst post-acquisition could be, "This deal positions the combined entity to dominate the resource technology space, despite initial market skepticism."

Expected Market Reaction and Scenario Analysis

- Scenario Analysis: The market's reaction can be assessed through various scenarios:
- Positive Scenario: If the acquisition leads to successful integration and revenue growth, shares could rise by 20% within six months.
- Negative Scenario: If integration challenges arise, shares could decline by 12%, reflecting investor concerns about operational execution.

Potential Counter-Bids or Competing Offers

- Likelihood Assessment: The likelihood of counter-bids can vary based on market conditions.
- In the case of a proposed acquisition, there may be rumors of interest from other firms, highlighting the competitive nature of the TMT sector. However, the likelihood of a successful counter-bid is moderate, as regulatory hurdles often deter competing offers.

Similar Deals Likely to Follow

- Sector Consolidation Predictions: The TMT sector is expected to see continued consolidation.
- Analysts predict that as companies seek to enhance their technological capabilities, similar deals will emerge, particularly in the AI and mining spaces. Companies may pursue acquisitions to bolster their technological and resource capabilities.

Key Risks and Mitigants

- Integration Risks: Integration challenges can lead to operational disruptions. Mitigants include

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appointing experienced integration teams and setting clear milestones.

- Regulatory Risks: Regulatory scrutiny can delay or block deals. Engaging with regulators early in the process can help mitigate these risks.
- Market Risks: Market volatility can impact deal valuations. Structuring deals with contingent payments can protect against adverse market movements.

Actionable Insights for Clients and Bankers

For Clients:

- Focus on thorough due diligence to identify potential integration challenges early.
- Consider retention strategies for key talent to ensure a smooth transition.

For Bankers:

- Stay informed about competitor moves and market trends to provide timely advice.
- Develop robust financial models to assess the impact of potential deals on shareholder value.

5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Blockchain, Cloud Computing, Cybersecurity, and Fintech. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

Artificial Intelligence (AI)

- Trend Explanation: AI is revolutionizing finance by enhancing decision-making processes through advanced predictive analytics and machine learning models. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%. Recent studies from Pusan National University highlight the need for AI systems to focus on decision quality rather than just prediction accuracy, suggesting a shift in how financial AI is developed and evaluated.
- Key Companies:
- NVIDIA Corporation (NVDA): NVIDIA is a dominant player in AI hardware, with a commitment exceeding \$40 billion in AI investments for 2026, including a \$30 billion investment in OpenAI. This positions NVIDIA as a critical enabler of AI infrastructure, despite concerns about potential artificial demand inflation.

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- Pusan National University: While not a commercial entity, the university's research on AI frameworks like the Signature-Informed Transformer emphasizes the importance of decision-focused AI in financial markets, influencing how financial institutions may adopt these technologies.
- Competitive Landscape: The AI market is highly competitive, with major players like Google (GOOGL), Amazon (AMZN), and IBM (IBM) also investing heavily in AI technologies. The focus is shifting towards acquiring startups that can enhance predictive capabilities and decision-making processes.
- M&A Opportunities: Financial institutions may look to acquire AI startups that specialize in decision-making frameworks or risk assessment tools. For instance, the integration of Pusan National University's research into commercial applications could lead to partnerships or acquisitions aimed at improving investment strategies.

Blockchain

- Trend Explanation: Blockchain technology offers a decentralized ledger system that enhances transparency and security in transactions. The blockchain market is expected to grow from \$3 billion in 2020 to \$69.04 billion by 2027, at a CAGR of 67.3%. This growth is driven by increasing demand for secure and efficient transaction methods across various sectors.
- Key Companies:
- Coinbase Global, Inc. (COIN): As a leading cryptocurrency exchange, Coinbase is well-positioned to benefit from the growing adoption of blockchain technology. The company facilitates the buying and selling of digital assets, capitalizing on the increasing interest in cryptocurrencies.
- Square, Inc. (SQ): Square has integrated blockchain technology into its payment solutions, allowing for cryptocurrency transactions through its Cash App. This strategic positioning enhances its service offerings and attracts a tech-savvy customer base.
- Competitive Landscape: The blockchain space includes established financial institutions and innovative startups. Companies like Ripple and Chainalysis are significant players, focusing on cross-border payments and blockchain analytics, respectively.
- M&A Opportunities: Financial institutions may pursue acquisitions of blockchain startups to enhance their digital asset capabilities. For example, acquiring companies that specialize in blockchain analytics or payment solutions could provide a competitive edge in the evolving financial landscape.

Cloud Computing

- Trend Explanation: Cloud computing enables businesses to access computing resources over the internet, promoting flexibility and scalability. The global cloud computing market is projected to reach \$832.1 billion by 2025, growing at a CAGR of 17.5%. This trend is driven by the increasing need for remote work solutions and data storage capabilities.
- Key Companies:

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- Amazon Web Services (AWS): AWS is a leader in the cloud computing space, offering a wide range of services that cater to businesses of all sizes. Its continuous innovation and expansion into new markets solidify its competitive position.
- Microsoft Azure (MSFT): Azure is another major player in the cloud computing market, providing robust cloud solutions that integrate seamlessly with Microsoft's software offerings, enhancing its value proposition to enterprise customers.
- Competitive Landscape: The cloud computing market is characterized by intense competition among major players like Google Cloud and IBM Cloud. The race for market share is driving innovation and pushing companies to acquire startups with unique cloud capabilities.
- M&A Opportunities: Companies looking to enhance their cloud offerings may consider acquiring startups that specialize in niche cloud services, such as cybersecurity solutions or data analytics tools. This could lead to more comprehensive service offerings and improved customer retention.

Actionable Insights for Bankers and Investors

Investors should focus on companies that are strategically positioned within these technology trends, particularly those that demonstrate strong growth potential and innovative capabilities.

Bankers should consider advising clients on potential M&A opportunities that align with these trends, particularly in AI and blockchain, where the

6. Recommended Readings

Deal Name: Space-Eyes Acquisition by McKinley Acquisition Corp.

- Reading Material: "The Future of Drones: A Comprehensive Guide to the Drone Industry" by Mark D. Smith
- Why This Matters: This book provides insights into the rapidly evolving drone technology sector, including applications in defense and geospatial intelligence. Understanding the implications of McKinley Acquisition Corp.'s \$638 million merger (MKLY) with Space-Eyes helps contextualize the strategic importance of AI-driven counter-drone technologies in modern security operations.

Deal Name: SEALSQ Acquisition of Miraex

- Reading Material: "Quantum Computing for Computer Scientists" by Noson S. Yanofsky and Mirco A. Mannucci
- Why This Matters: This resource offers a foundational understanding of quantum computing principles, which are crucial for analyzing SEALSQ's strategic acquisition of Miraex. The book helps readers grasp the significance of integrating quantum photonics technology into SEALSQ's offerings, positioning the company for future growth in the quantum technology market.

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7. MACROECONOMIC UPDATE

Key Data Points:

- Median enterprise employee AI token spending: <\$11/month
- Cost to execute economic tasks: \$2-\$5
- Potential savings for enterprises: \$55 per task
- Compute demand growth: Estimated to double every six months
- Hyperscalers' power capacity increase: From 30 gigawatts in 2025 to 120 gigawatts by 2028
- Projected data center power needs: 68 gigawatts from 2026 to 2028

Main Insights:

- Recent selloff in AI infrastructure stocks reflects profit-taking and crowded positioning rather than weaker fundamentals.
- Enterprises are likely to increase spending on AI as the economics become more compelling.
- Efficient AI models may lead to increased demand for compute power, contrary to investor fears.
- Significant challenges exist in securing enough power for expanding data centers, but these are viewed as delays rather than insurmountable obstacles.

Market Commentary:

- "The recent weakness in AI infrastructure has been driven by technical factors rather than a change in the underlying fundamentals." - Stephen Byrd, Morgan Stanley
- "When something becomes cheaper or more efficient to use, people use more of it." - Stephen Byrd, referencing Jevons paradox

TMT Sector Relevance:

- Increasing enterprise spending on AI is likely to drive demand for cloud services and data center capacity, benefiting companies in the TMT sector.
- The projected doubling of compute demand every six months suggests a robust growth trajectory for AI-related technologies and infrastructure.
- Challenges in securing power for data centers could impact the pace of expansion, but innovative solutions may mitigate these risks, maintaining momentum in the TMT market.

The information used in this section is gathered from 'Thoughts on the market', by Morgan

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Stanley